

CP Strategy Deep Dive

Prepared for February 13, 2025
WEX Board of Directors Meeting



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Executive Summary

Context. What you need to know about WEX Corporate Payments

Strategic Progress. Significant progress has been made against our current Corporate Payments strategy

Challenge. Our strategic progress will drive continued growth; the next frontier of opportunity will be unlocked inorganically

Acceleration. We aspire to move closer to the customer by offering AP and EM solutions

Next steps. Focus on accelerating our AP and EM capabilities while continuing to deliver our Embedded + Travel strategies

- **Enterprise Strategy.** WEX Corporate Payments is core to our enterprise strategy and how we achieve our ambition
- **Market Composition.** WEX is a leader in payment issuance with limited capabilities in Accounts Payable (AP) Automation and Expense Management (EM)
- **Segment Composition.** Our current CP segment is composed of five sub-segments, each with unique characteristics and customer profiles
- **Growth profile.** Long-term growth remains compelling, but the volatility of our revenue profile hampers the value this segment creates for WEX
- **Trends.** The market is shifting toward consolidation, multi-point offerings, and AI-driven software-first solutions deeply embedded in customer workflows
- **AP + EM.** Accelerating our AP Automation and Expense Management capabilities provides the most compelling opportunity to fuel our next wave of growth
- **Right to win.** WEX can enhance and differentiate AP and EM capabilities
- **Closer to Customer.** Embedding in customer workflows drives stickiness, enhances the value customers derive from WEX, and improves our segment economic profile
- **Capabilities Required.** Our capability gaps, time-to-market, and the rapidly evolving landscape promote an acquisition path
- **M&A.** Across a wide range of opportunities, we are actively exploring several targets

Context | Enterprise Strategy. Corporate Payments (CP) is fundamental to our long-term right to win as an enterprise

Recall points of differentiation from Sept '24 BoD...

How We Win | We are focused on our attributes that give us a sustainable right to win

1

Customer Insights + Trust

Our customers shape our motion for outpacing market growth

3

Product Operating Model

Market-leading speed and efficacy drive our people, products, and processes

2

Deeply Embedded Solutions

Software, Payments, and vertical expertise enable deep integration into workflows

4

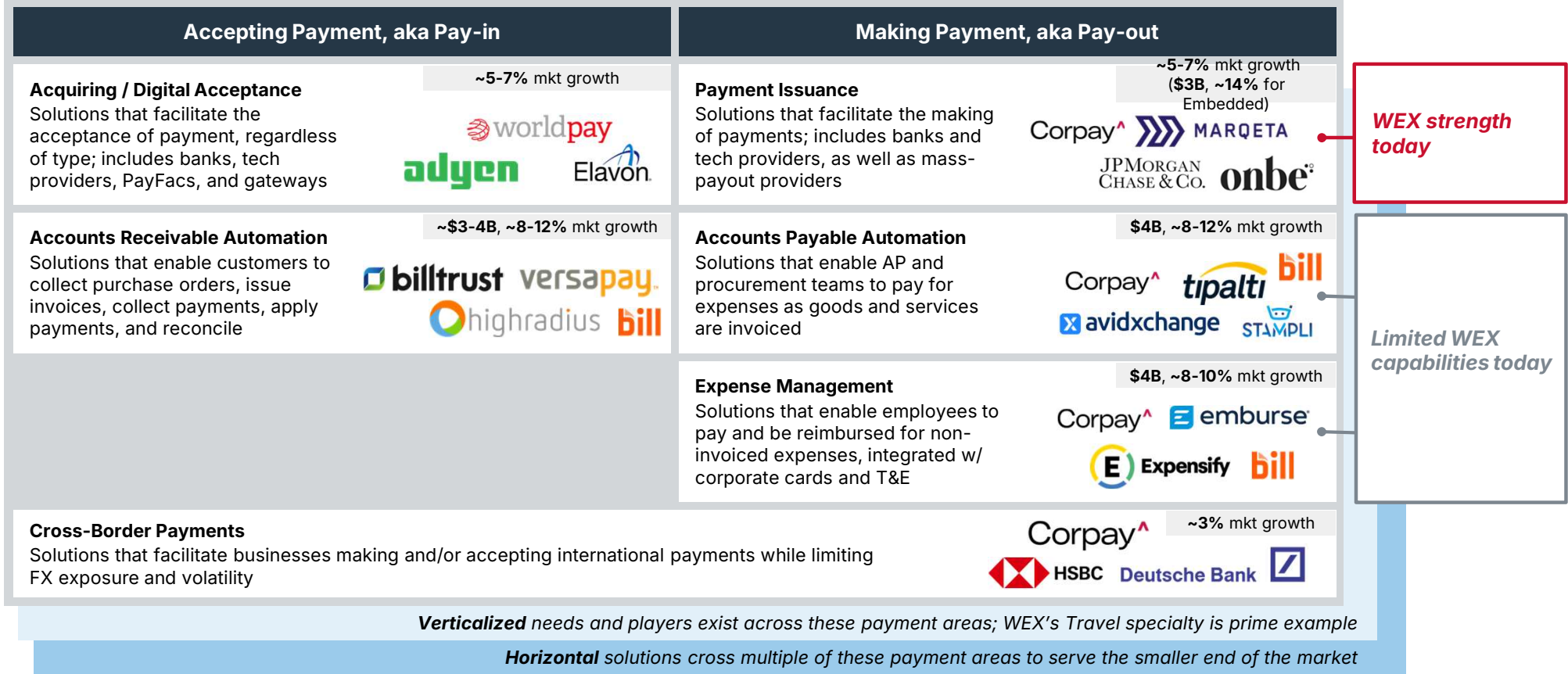
One WEX

An enterprise model that generates value otherwise inaccessible

Our CP assets are a basis for us to:

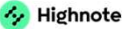
- Expand from high-caliber payments capabilities into more deeply embedded solutions
- Leverage our capabilities to solve payments needs across WEX, powering our CP and Mobility payment solutions

Context | Market Composition. WEX is a leader in issuance with a speciality in Travel; limited in AP Automation and Expense Mgmt.



Note: Does not include further-afield portions of the payments landscape (e.g., Supply Chain Financing). Acquiring and growth rate through 2027 per 2023 BCG study. AR Automation market size per IDC and SNS Insider, market growth rate estimated per Bain 2023. Embedded market size and growth rate through 2027 per 2024 Kaiser Associates engagement for WEX. Payment Issuance market growth rate and AP Automation, and Expense Management market sizes and growth rates through 2027 per 2023 Bain engagement with WEX. Expense management excludes corporate card revenue given vast majority of this revenue pool is owned by AMEX, Capital One, Chase, and other large banks

Context | Segment Composition. Our current CP segment is composed of five sub-segments, each with unique characteristics and customers

	Travel	Embedded Payments	Direct-to-Corporate	FI	Bill Pay
Description	Virtual card solutions with enhancements and functionality designed for travel industry dynamics	Virtual card solutions with enhancements and functionality designed to power card payments for Fintech and SaaS clients	AP tool for orchestrating virtual card payments to vendors; sold into market directly by WEX sales team	AP tool for orchestrating virtual card payments to vendors; sold into market by white-labeled FI partners	Virtual card payment solution for consumer bill pay providers
Primary Customers	Online Travel Agencies	Financial Technology providers	Larger SMBs and mid-market companies	Regional Banks	Core banking technology platforms
Example Customers	 	 	 	 	 
Intensity of Competition and Key Names	<u>High</u>  	<u>High</u>  	<u>Moderate</u>  	<u>Moderate</u>  	<u>Low</u> 
2024 Revenue	\$274M	\$43M	\$15M¹	\$38M	\$40M
	Virtual card via API, powered by WEX technology (EnCompass, TAG, T-Chek, EPP) and WEX global money capabilities		Primarily a user interface that sits atop EnCompass, TAG capabilities		Payment delivery engine that utilizes EnCompass issuing capabilities

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¹ Reflects Direct business since intentionally managed beginning in 2022; excludes revenue from "legacy" Direct customers

Note: "2024 Revenue" row does not sum to total revenue due to exclusion of "Legacy" Direct revenue (\$40M), Embedded + Direct scheme incentives (\$14M), and OTR CP (\$23M)

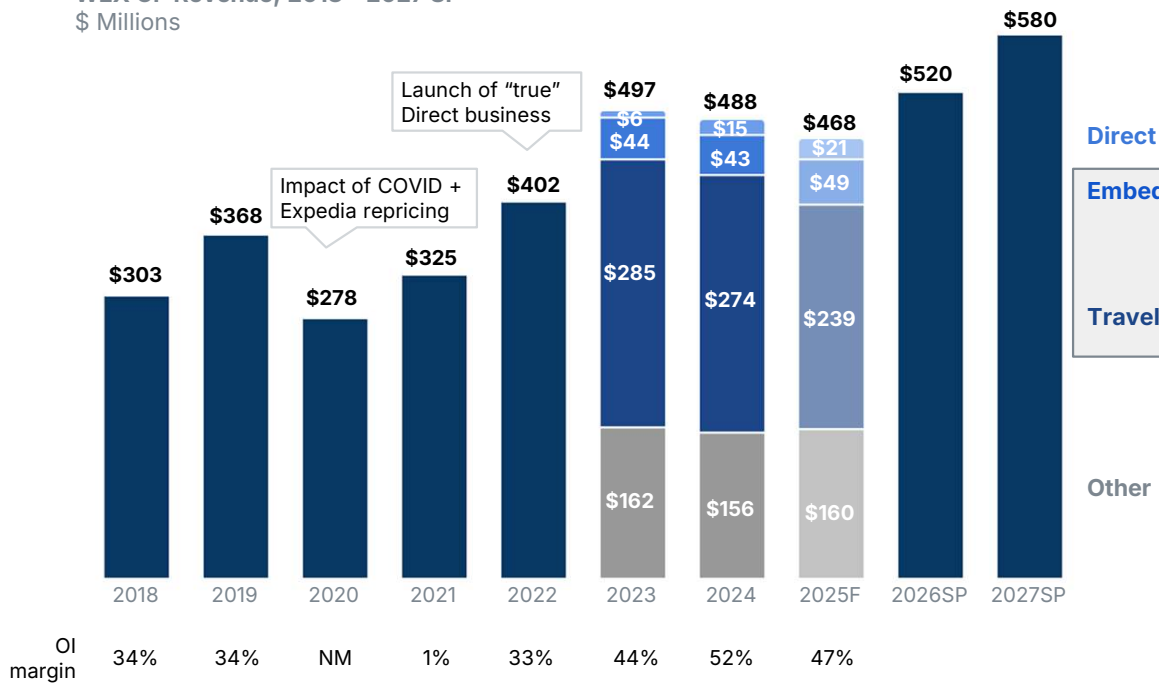


Strategic Progress. We have made significant progress on optimizing each business based on its role and intent

	Travel	Embedded Payments	Direct-to-Corporate	FI	Bill Pay
Defined Role of Business	Leadership	Growth	Early Stage	Reorient	Reorient
Objectives for Role of Business	Maintain leadership position, deliver margin	Capture outsize share and accelerate ability to address market needs	Build and scale our nascent market position	Decouple from core while pursuing exit	Maximize revenue while pursuing exit
Key actions since Sept '24 Strategy	✓ Consolidated global org structure ✓ Launched new capabilities (e.g., Global Funding) to achieve TAM+ growth ✓ Renegotiating w/ schemes to optimize economics	✓ Increasing sales HC to 5 in '25 vs. 1.5 in '24 ✓ Signed 5 logos in 4Q24, mature revenue of \$4M+ ✓ Launching key products in '25, targeting gaps	✓ Increasing sales HC to 44 in '25 vs. 25 in '24 ✓ Progressed on launching key products incl. new digital experience	✓ Splitting EnCompass code, as common core is currently inhibiting our ability to best serve core WEX customers	✓ Won Fiserv in 4Q24 (mature run-rate revenue of \$10M+), thereby securing all major US core banking providers
What we've learned in Embedded → Customers continue to value how simply they can "plug in" and monetize our solution into their offering → Funding flexibility unlocks incremental spend and commercial opportunities → Plastics, mobile, and handful of other key enhancements expected in '25 for more feature-rich offering		What we've learned in Direct → Strength in virtual cards continues to drive momentum → Limited features around payment modalities and enhanced automation limit market we can sell into			

Challenge | Growth Profile. Despite this progress, revenue volatility and macro headwinds hamper the value CP creates for WEX

WEX CP Revenue, 2018 – 2027 SP ¹
\$ Millions



Positive Attributes

- Enviably size and scale economics
- Superior reliability and scalability of solution to leverage for other segments
- Global reach, with integrated tech and compliance
- High virtual card volume growth rates expected for foreseeable future

Challenges

- Customer concentration leads to erratic growth profile from quarter to quarter
- Aggressive competition pressures pricing position
- Nearly all revenue linked to interchange
- We primarily compete in the area of the value chain at higher risk of commoditization

We must evolve our business to move closer to the customer via software- and workflow-led solutions

¹ Historical revenue and operating income figures are as-reported. 2025 reflects 0+12 forecast. 2026SP and 2027SP reflect September 2024 Financial Strat Plan growth projections applied to 2025 forecasted values. Travel figures in 23-25 are inclusive of scheme incentives, while Embedded and Direct figures do not include scheme incentives. Direct figures reflect revenue from customers since launching "true" Direct business in 2022, and as such do not include "legacy" Direct customer revenues, which are captured in the "Other" category.

Challenge | Trends. The corporate payments market will look different in five years than it does today

By 2030, in the Corporate Payments market...

Customer value is created via software / workflow integration



Embedding payments within customer workflows

Economics aggregating toward players who own end customer and solve business needs through integration into workflows



Players get larger, generating better scale economics



Market consolidation for scale

Larger players increasing scale and adding new capabilities via acquisitions



Providers offer multi-point solutions



Product offering expansion (by M&A or organic)

Providers are building and/or buying their way into adjacent payments areas to offer more value to customers



AI-powered solutions win in market by unlocking add'l value



AI-driven enhancements in automation

Innovation in AI is driving proactive, intelligent insights and workflow optimizations

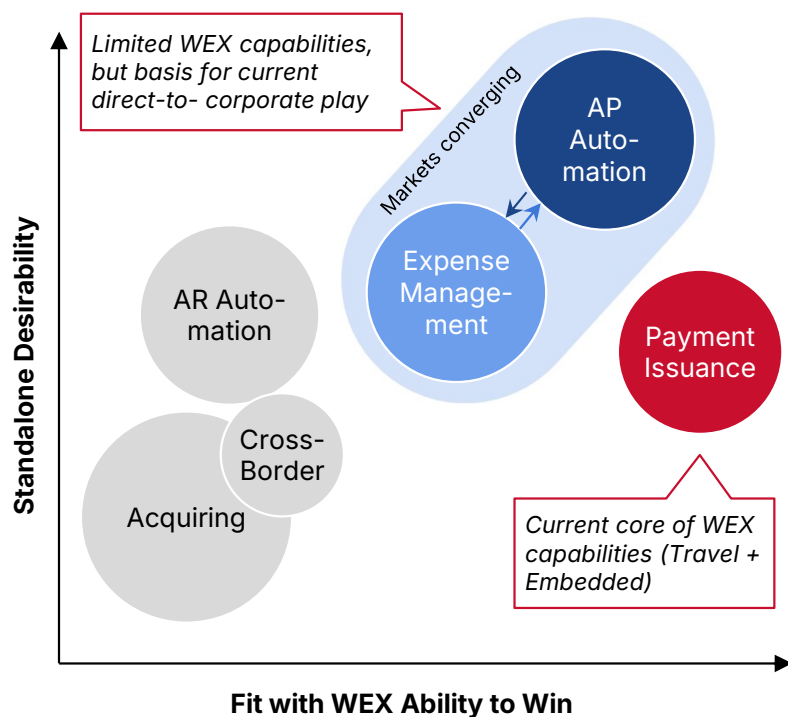


Note: Corpay purchase of GPS Capital Markets and Paymerang in 2024 a scale thesis for its FX offering; HighRadius purchase of cForia in 2024 a scale thesis for its AR Automation offering; Bill.com purchase of Divvy in 2021 a product expansion thesis; Avidxchange organically building out Expense Management capabilities

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Acceleration | AP + EM. AP Automation and Expense Mgmt. provide the most compelling opportunity to fuel WEX's next wave of growth

AP and EM are the most proximate and attractive CP plays for WEX to accelerate



Markets have distinct benefits and challenges, but given convergence we expect to participate in both domains over the long-term

AP Automation

Benefits

- Large and growing market
- Large cardable volumes enable substantial virtual card revenues
- Deep workflow integrations; value prop is at the nexus of software and payments
- Most players offer robust Integrated Payables capabilities as part of AP

Challenges

- Competitive space with newer, well-funded entrants
- Best fit for mid-market and larger businesses
- Portion of the TAM with continued exposure to interchange

Expense Management

Benefits

- Large and growing market
- More UX-centric than AP, frequently touches all employees with expenses via "consumer-like" experiences
- More broadly applicable across business types; best fit for cross-sell

Challenges

- Competitive space with newer, well-funded entrants
- Players struggle to differentiate on Expense Management alone
- Portion of the TAM with continued exposure to interchange

Note: Bubble size reflects approximate market size of segment. Standalone Desirability reflects growth rate, margin profile, and competitive intensity of segment. Fit with WEX reflects WEX ability to succeed in the segment defined as fit with current capabilities, customer base, and economics engine | Excludes Expense Management corporate card revenue given vast majority of this revenue pool is owned by AMEX, Capital One, Chase, and other large banks where WEX would not be well-positioned to compete

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Acceleration | Right to win. AP + EM offer opportunity for WEX to differentially solve the evolving workflow needs of our customers

Customers' enduring needs and current challenges...



Optimize my cash flow

Cash flow **uncertainty**, leading to **suboptimal** cash management



Simplify my operations

Manual invoice and expense processes that lead to **inaccuracies, gaps, and wasted time**



Grow my business

Procurement department is a **cost center** for the enterprise



Build my confidence

Slow, manual risk identification that is prone to error and not timely

...leads to tomorrow's solutions...

"Live" views into cash needs power business decisions, improve working capital

AI-powered end-to-end experiences, with **fully-automated** features

Spend optimization can drive revenue opportunities through rebates

Fraud prevention, enabled by real-time detection and compliance monitoring

...where WEX can lead and win



brings assets to bear to solve for AP/EM future



Best-in-class virtual card engine



Configuration + flexibility

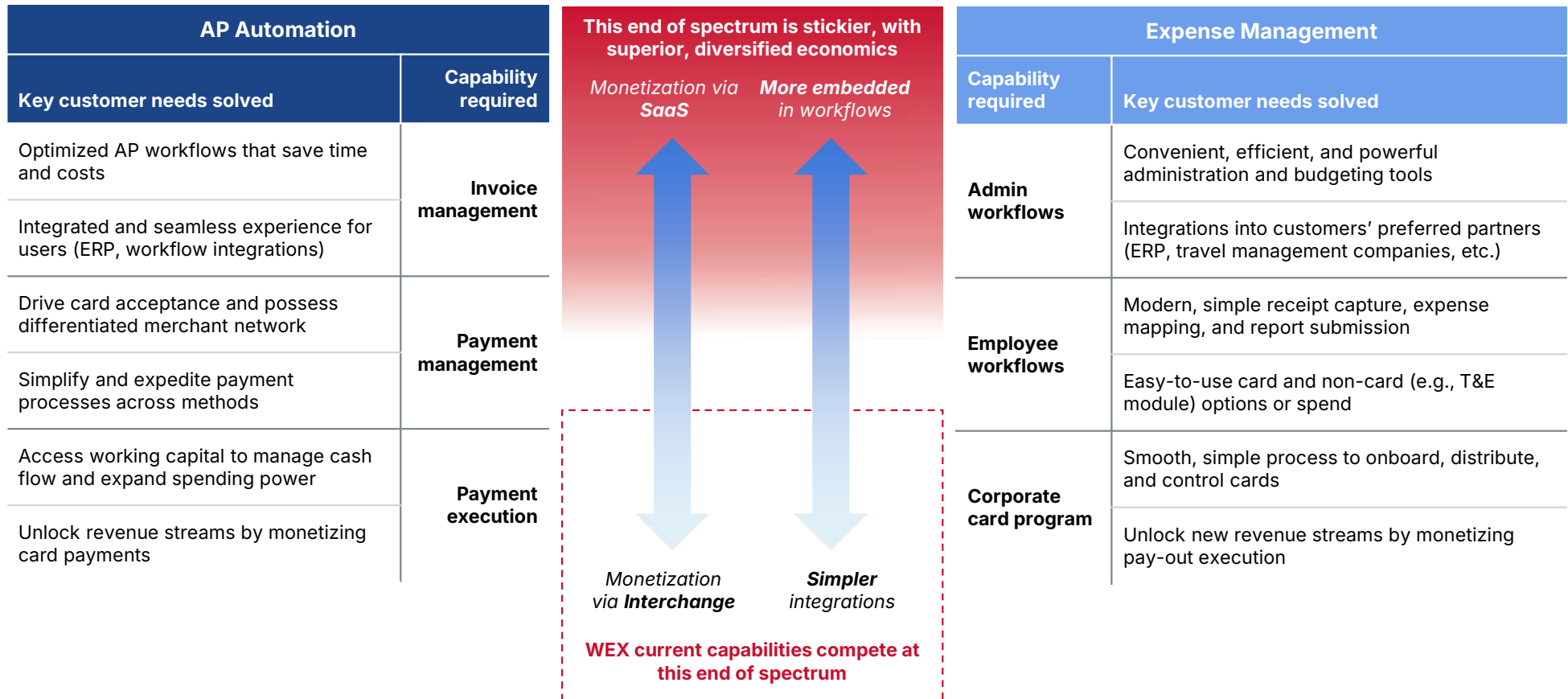


Market-leading scale + economics

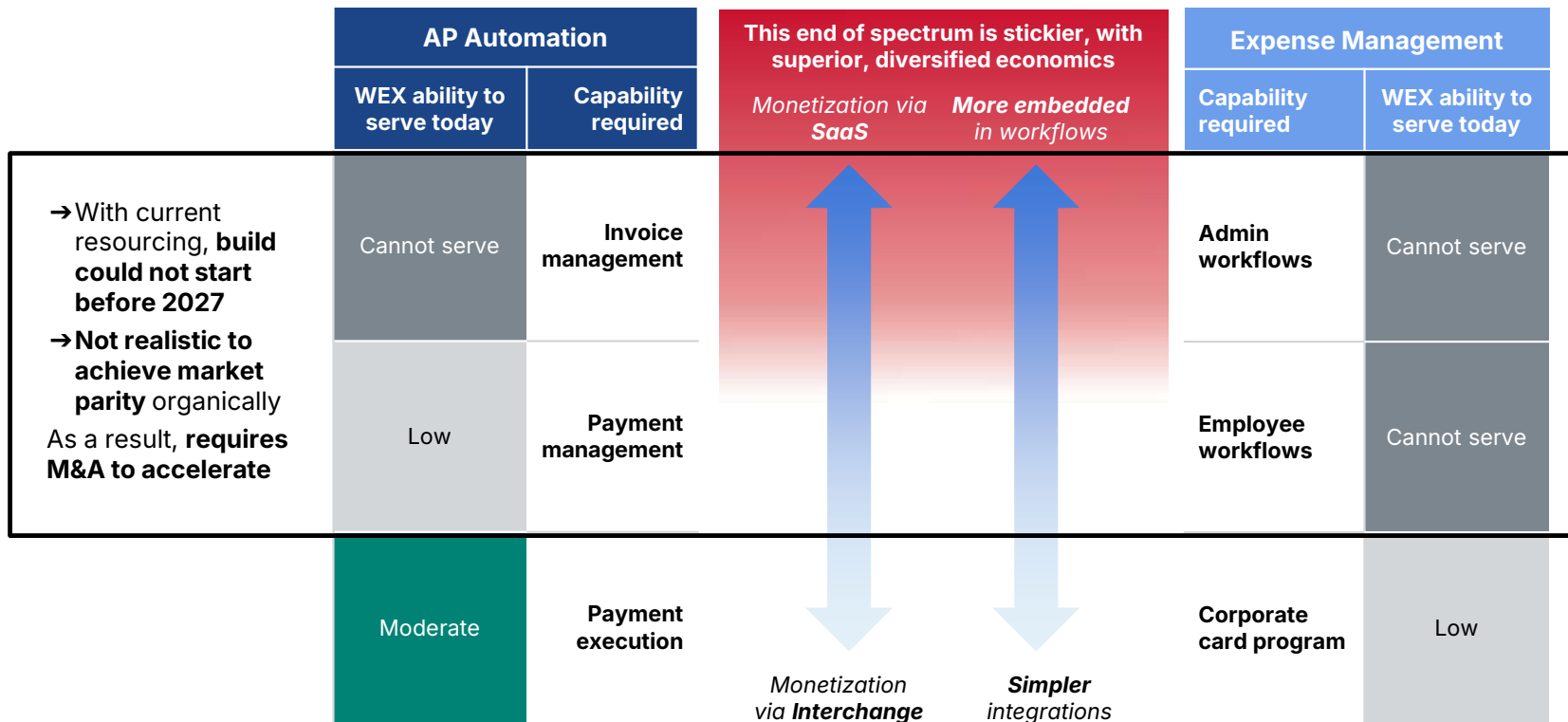


Superior strategic partnerships

Acceleration | Closer to Customer. Embedding in customer workflows drives stickiness, enhances our value prop, and diversifies our revenue



Acceleration | Capabilities Required. To get there in a timely manner, WEX must acquire our way into these capabilities



Our product roadmap facilitates streamlined integration with an acquired solution
(much like we do today with our Embedded customers)

Acceleration | M&A. Among wide range of opportunities in AP and Expense Management, several targets are actively being pursued

Actionability

Acquirable at a viable price



Logos trading at too high an absolute cost and/or unable to untangle from corporate owner

Product Offering

Leading product set and tech stack; sufficient breadth of offering



Solution is below-parity, too narrow in scope, and/or geared toward customer segment not aligned with WEX focus

Deal economics

Commercial profile, risk profile, and/or valuation does not fit WEX appetite



Low / no profit companies and/or logos with inflated valuations

Several of the actionable targets would bring both AP and EM capabilities to WEX



Note: Paymode-X, Divvy, Mineraltree, and Airbase are owned by larger corporates, and as such are not actionable as standalone opportunities

Acceleration | M&A. Each of the shortlist profiles are being actively worked

Shortlisted targets	'25 Rev, M (Est. LT growth)	'25 EBITDA Margin	Mature Synergy Estimate	Estimated time to Accretion	Estimated Purchase Range, B	Attributes	Activities
 avidxchange	\$483 (10-15%)	21%	~\$40M (15% of OpEx)	3 years	\$2.6	● AP Automation market leader ● Mid-market focus, 8,000 customers ● Split SaaS revenue (30%), payment revenue (70%) ● Expense Management solution being built ● High synergy value given regulatory overhead and Corpay virtual card contract ● Sponsors and Corpay circling given valuation	☐ Current customer ☐ Strong partnership led by WEX CP team; close relationship with CEO ☐ CEO discussion held to brainstorm options
 STAMPLI	TBD	TBD	TBD	TBD	TBD	● AP Automation provider with one of the strongest products in the marketplace ● Mid-market focus, low-margin at present ● Expense Management solution w/ corporate card ● 90%+ SaaS approach to market	☐ Current customer ☐ CTO/CSO visit
 corcentric™	\$171 (10%)	28%	~\$35M (25% of OpEx)	1 year	\$0.5	● AP Automation and AR Automation capabilities ● Deep focus on Mobility vertical; Corpay circling ● Family-owned; public company standards challenges ● Insufficient management team and stalled growth impacting valuation and attractiveness ● Will need to generate significant synergy value	☐ Formal process beginning 1Q25 ☐ Site visit 3Q24 ☐ Two dinners w/ CEO
 Edenred Pay	\$106 (15-20%)	28%	~\$20M (25% of OpEx)	2 years	\$0.5	● AP Automation and Embedded T&E capabilities ● SMB / mid-market focus on fleet-adjacent spaces ● Owned by Edenred; not shopping but open to the right transaction ● High synergy value due to core platform redundancy	☐ Discussion started in 4Q24 with Global Head of Corp Dev ☐ Mutual NDA executed

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Acceleration | M&A. Our priority is to acquire market leadership, but we are also pursuing opportunistic potential

1 Priority: Market leadership via scale or product



Market-leading size and scale

- Feature-rich product offering
- Largest merchant network and supplier enablement engine



Best-in-class product

- Modern technology stack backed by strong talent
- AI- and data-driven processes

2 Secondary: Opportunistic scale and value



Attractive value

- Mobility-oriented customer base
- Broad capabilities across AP, AR, and fleet-specific solutions



Attractive scale

- Customer base / vol. overlap
- Solid multi-rail capabilities (Integrated Payables)

Appendix

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Embedded | Positive traction from our recent product and commercial investments in our Embedded business

	2023	2024	2025
<i>WEX GTM approach</i>	Focused on maintaining existing book	H2 Re-engage pipeline ● Drive sales of existing product ● Forward sell new services	Drive sales of existing product Forward sell new services
<i>Embedded rev. YoY growth</i>	\$44M	\$43M ~0%	\$49M +14%
<i>Sales team headcount</i>	No dedicated salesforce	1 FTE	5 FTEs
<i>Signed customers</i>	1 new customer	5 new customers (all 4Q)	10 new customers (target)
 Expensya Expense Mgmt. provider +\$0.7M rev  ARTSYL AP-related workflow automation +\$0.3M rev  KM Business Solutions Consulting firm for biz + payments, offers AP platform +\$0.6M rev  MeterFeeder Pays parking tickets for fleets + FMCs +\$0.3M rev  jack henry Large FI +\$2M rev			

Direct | Continued momentum from investments in our commercial team and additional product features/functionality

	2023	2024	2025
<i>WEX GTM approach</i>	Leverage WEX assets to drive growth in new business area: direct-to-corporates	Continue to grow sales team to build on commercial momentum	Continue to grow sales team to build on commercial momentum
<i>Direct rev. YoY growth</i>	\$6M	\$15M +150%	\$21M +40%
<i>YE sales team headcount</i>	19 FTEs	25 FTEs	44 FTEs (target)
<i>Payment volume</i>	+\$1,173M	+\$2,926M	+\$4,139M